ICAB July-August 2024 Exam
Case Study
Model Answer:

Draft Report

To : Board of Director, Marvel Pet Care Limited

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Subject : Report on Assessment of business operation, advising on accounting & tax issues, regulatory matters, evaluation of strategic options, suggestion of the best investing and financing options, and analysis of ethical issues and sustainability factors of the business.

Terms of Reference:

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1. Executive Summary:

1.1. Evaluation of financial and non-financial performances of Marvel Pet Care Limited.

Analysis of adjusted financial statement shows that Marvel had an excellent financial performance during 2024. Revenue of Marvel has increased exceptionally by 12.5% driven primarily by the increasing demand for grooming services and the broader adoption of e-commerce in the pet care sector. Grooming service contributes 56.1% in the revenue which was below 50% in last year . This shows there is an increasing demand for grooming service. Revenue from healthcare service has decreased due to closure of surgery activities by Bangladesh Veterinary Council.

Cost of revenue increased significantly by 15.2% exceeding the revenue growth due to increase in cost of raw materials as well as distribution costs. Similar to revenue, grooming service incurs majority of the cost of revenue. In 2024, grooming service represented 53.4% of the total cost.

Marvel achieved net profit of BDT 3,086,320 in the year 2024. Despite a 34.9% rise in net profit, profitability margins remain modest due to a higher growth rate in costs, particularly in grooming services.

Liquidity ratios indicate a stable but low working capital position, while solvency has improved as Marvel reduced its debt ratio. Operational efficiency, as measured by asset turnover and return on assets, is low but shows potential for improvement in a growing market. The company's return on equity is a robust 12.96%, reflecting effective shareholder value creation. Non-financial initiatives, such as customer-centric innovations, employee training, and community engagement, further enhance Marvel's reputation and competitive edge.

Recommendation to the board:

- Marvel should aim to maintain revenue growth consistently by focusing on high-margin services like premium grooming services.
- Reduce grooming and trading costs by renegotiating supplier contracts, automating service processes, and eliminating inefficiencies in labour and material usage.
- Revitalize healthcare services by addressing regulatory challenges and introducing preventive care packages; diversify trading revenue by offering exclusive, high-margin pet products.
- Improve working capital by targeting a 2:1 current ratio, adopting just-in-time inventory practices, and reducing reliance on short-term debt.
- Expand operations through a franchising model or by opening outlets in high-potential cities like Chattogram and Sylhet to capture untapped market demand. Enhance e-commerce capabilities for trading products, integrate eco-friendly grooming solutions, and expand digital marketing efforts to boost brand visibility and attract premium customers.
- Management should properly incorporate all the necessary adjustment entry at the year end.

1.2. SWOT Analysis

Marvel Pet Care has quickly established itself as a leader in Dhaka's premium pet care market. By offering a wide range of services, including grooming, healthcare, training, and retail products, the company has successfully diversified its revenue streams and built a loyal customer base. Its strong focus on animal welfare, combined with effective social media marketing, has enhanced its brand reputation and made it the preferred choice for high-income pet owners.

On the other hand, high operating costs and reliance on third-party suppliers have impacted profitability. Marvel's non-compliance with certain veterinary licensing regulations poses legal and reputational risks, while its premium pricing strategy may alienate middle-income customers, restricting market reach.

The rapidly growing pet care market, alongside increasing pet ownership and the rise of e-commerce, presents significant opportunities for Marvel. Expanding services such as pet daycare and microchipping, and launching an online platform for product sales, would allow the company to tap into new revenue streams and extend its reach beyond Dhaka.

At the same time, Marvel faces increasing competition from both local and international pet care brands, which is putting pressure on prices and service quality. Economic downturns could reduce demand for premium services, and growing scrutiny of sustainability practices and employee turnover also pose potential risks to operations and brand reputation.

Recommendation to the board includes:

- Open new branches in key cities like Chattogram and Sylhet as well as introduce high-demand services such as pet daycare and microchipping to increase revenue streams and to tap into the growing demand for pet care services.
- Launch an online platform for retail products and partner with established e-commerce sites like Daraz to expand product sales across the country.
- Secure direct sourcing agreements with manufacturers to reduce procurement costs and improve profit margins on retail products.
- Ensure full compliance with veterinary licensing and regulations to mitigate legal risks, protect the brand, and maintain customer trust.
- Transition to eco-friendly packaging and implement resource-efficient operations to align with global sustainability trends, enhancing brand reputation and attracting environmentally conscious customers.
- Focus on employee retention by increasing wages, introducing wellness programs, and providing regular training to reduce turnover, improve service quality, and foster a more committed workforce.

1.3. NPV analysis, suggestion to board and comment on compatibility with mission & vision:

Marvel is evaluating two mutually exclusive investment opportunities: establishing "The Furry Lounge", a pet care centre, or starting a pet food manufacturing line. Both projects are financially viable, as shown by their positive NPV values. However, "The Furry Lounge" stands out with a significantly higher NPV of BDT 24,449,777 compared to BDT 8,859,814 for the pet food manufacturing line.

Establishing "The Furry Lounge" offers Marvel a strategic opportunity to diversify its business into pet care services, enhancing market positioning and enabling first-mover advantage in the growing pet care industry. This aligns with Marvel's mission to improve the quality of life for pets and their owners through innovative, stress-free care solutions. Additionally, it supports the company's vision of becoming a leading pet care provider recognized for excellence, compassion, and innovation. By setting up "The Furry Lounge", Marvel can strengthen its brand identity, capture a growing market, and secure long-term sustainable growth.

Recommendation to the board includes:

- Marvel should perform a due diligence on prospective financial and non-financial data and conduct a thorough risk assessment with mitigation plan.
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- Proceed with Establishing "The Furry Lounge" as it offers a significantly higher NPV and matches with its mission and vision.
- Board should also consider its risk appetite and relevant risks of the investment options.
- Marvel board may consider manufacturing production line for future investment as it also has positive NPV.

1.4. New shares to be issued, enterprise value of marvel and acceptability of Sigma's offer:

Sigma Venture Capital Limited has proposed to purchase 40% of Marvel's ownership by acquiring 1,100,000 new shares at a price of BDT 15 per share. This transaction would inject new capital of BDT 16,500,000, comprising BDT 11,000,000 as share capital and BDT 5,500,000 as share premium.

Marvel's enterprise value, which combines cash flows from its existing business and the proposed investment in "The Furry Lounge," is estimated at BDT 92,430,888. Based on the current share capital of 1,650,000 shares, the enterprise value per share is calculated to be BDT 56.02 before issuing new shares. However, post-issuance, the enterprise value per share would decrease to BDT 33.61 due to dilution. Given that Sigma's offer of BDT 15 per share is significantly lower than the enterprise value per share both before and after the issuance, the current offer is deemed unacceptable.

Recommendation to the board:

- Marvel should decline Sigma's current offer of BDT 15 per share as it significantly lower than the enterprise value per share, both pre- and post-issuance.
- Marvel should engage in negotiations with Sigma to revise the share price offer or seek alternative investor or funding sources that better reflect its valuation and growth potential.

- Continuously update enterprise value calculations to reflect any changes in market conditions, growth projections, or operational results before engaging in further negotiations.
- Ensure any deal aligns with Marvel's long-term strategy and preserves the interests of existing shareholders by avoiding undervaluation of the entity.

1.5. Determining best of financing option:

Marvel is considering two financing options for its investment in "The Furry Lounge": issuing new shares or obtaining external debt. Sigma's offer to purchase 1,100,000 shares at BDT 15 per share, generating BDT 16,500,000, is considered too low and may not be acceptable to the board. With a current gearing ratio below 65%, adding BDT 10,000,000 in debt would increase the ratio to 68.6%, still under the 80% threshold, making external borrowing a viable option. If financed through debt at 15%, the NPV of the investment would remain positive at BDT 22,107,205.

Given the low share price offered by Sigma, external debt financing is the most advantageous option, allowing Marvel to proceed with the investment while maintaining financial stability.

Recommendation to the board:

- Marvel should proceed with the investment in "The Furry Lounge" by obtaining a loan to finance the investment options since external borrowing will not exceed the 80% gearing threshold.
- By choosing debt financing, Marvel can maintain financial stability while still achieving a positive NPV of BDT 22,107,205 from the investment.
- Marvel should consider exploring alternative equity financing options.

1.6. Non-financial factors to be considered while involving venture capitalist:

Before accepting Sigma Venture Capital's offer, Marvel should ensure that Sigma's objectives align with its long-term goals to avoid strategic conflicts. Marvel must also assess how Sigma's involvement could impact employee morale, work culture, and company values. It's essential to evaluate the effect of Sigma's 40% ownership on decision-making power, ensuring Marvel retains control over operations and strategy. Additionally, Marvel should consider the value of Sigma's expertise, networks, and potential to accelerate product development and market expansion. Lastly, the partnership's impact on Marvel's market credibility and how competitors and customers perceive it should be carefully analyzed.

Recommendation to the board:

- Marvel should thoroughly assess how Sigma's involvement could affect company culture, employee morale, and internal values including vision & mission.
- Marvel should negotiate terms to retain enough control over decision-making processes, ensuring the company's leadership can continue to guide strategic choices.
- Marvel should actively evaluate how Sigma's can contribute to accelerating growth, product development, and market expansion as well as how the partnership will be perceived by customers, competitors, and stakeholders and influence its market reputation.

1.7. Ethical issues involving Marvel's business and appropriateness of TMC's audit report:

Marvel faces ethical issues including conflicts of interest, unlicensed practices, employee welfare, pricing transparency, and environmental responsibility. TMC's independence is compromised due to familial ties with Marvel's Managing Director and its dual advisory role. The long-standing audit relationship raises concerns about reduced scepticism and critical review. TMC's prior audit report failed to address key issues with a modified opinion. Both Marvel and TMC must address these concerns to ensure future audits are independent, transparent, and accurately reflect the company's operations and risks.

Recommendation to the board

- Marvel should remove TMC as auditor and engage an independent audit firm.
- Marvel must ensure that its veterinary practices are properly licensed and align with regulatory requirements, while health and safety protocols are implemented for employee welfare.
- Marvel should work to reduce environmental impact through responsible waste management and ensure that its animal welfare initiatives including adoption drives are genuine.

1.8. Assessment of sustainability factors of Marvel's business:

Sustainability is crucial for Marvel Pet Care's long-term success. While strong in employee training and ethical pet care, improvements are needed in employee wellness, retention, and workplace conditions for human sustainability.

For social sustainability, Marvel must strengthen regulatory compliance and inclusivity. Economic sustainability is supported by revenue diversity and expansion plans, but balancing profitability with affordability is key. In environmental sustainability, scaling eco-friendly practices, improving waste management, and reducing plastic use and carbon footprint are essential. Focusing on these areas will position Marvel for sustainable growth and industry leadership.

Recommendation to the board

- Enhance Employee Well-being by implementing structured mental health support, fair wages, and improving workplace conditions to reduce turnover and build a motivated workforce.
- Ensure Regulatory Compliance by securing all necessary licenses, especially for veterinary practices, and establish a compliance monitoring system to safeguard reputation and operations.
- Develop a robust waste reduction program, including recycling grooming by-products, minimizing chemical use, and reducing plastic packaging.
- Adopt eco-friendly practices through scaling up the use of biodegradable grooming supplies and transition to renewable energy sources, such as solar power, for facility operations.

2. Adjustment schedule and performance evaluation of adjusted financials. (Requirement-a-1)

2.1. Schedule of adjustments required for current reporting and compliance issues.

Recognition of Revenue from behavioural training:

Marvel started a two-month training program at the beginning of June 2024 and received BDT 2,000,000 as advance fee. The amount has been recognized as financial liability. However, by the end of 30 June 2024, half of the training is completed. Therefore, Marvel should recognize half of the training fee as revenue in accordance with IFRS 15. Rest half of the training fee will be recognized at the end of training i.e. in July 2024.

To recognize the revenue and adjust the financial statements, following entry will be required:

Financial Liability	Dr.	1,000,000	
Revenue	Cr.		1,000,000

Expected credit loss on receivables:

As Marvel is unable to trace three customers from whom BDT 165,000 is outstanding, it needs to write off these receivables. Therefore, following entry need to be posted:

Bad debt expense	Dr.	165,000	
Receivables	Cr.		165,000

Cost of mobile apps:

Marvel spent BDT 1,400,000 for developing a mobile app and BDT 100,000 for testing the app & training the employees. Both has been recognized as expenses. According to IAS 38, expenditure in relation to development of internally generated intangible asset can be capitalized. Therefore, BDT 1,400,000 should be recognized as asset instead of expenses and amortized in over the two years of useful life. Accordingly following adjustment entry is required:

Intangible assets	Dr.	1,400,000	
Administration expenses	Cr.		1,400,000

Assuming the asset has been capitalized at the end of the year, no amortization expense has been charged.

Claim by VAT authority:

Due to non-submission and delayed payment of VAT return, Marvel recognized a contingent liability in its 2023 financial statements. By 30 June 2024, authority has raised a claim of BDT 250,000 as penalty for non-submission and delayed payment of VAT. Marvel is currently reviewing whether to appeal against the claim or pay off the penalty. As authority has issued claimant letter, Marvel should consider that the liability is no longer contingent. Therefore, a provision should be kept. Marvel can reverse the provision if payment is not required.

Administration expense	Dr.	250,000	
Provisions for expense	Cr.		250,000

Legal action by Bangladesh Veterinary Council:

Bangladesh Veterinary Council has completed its investigation and sealed Marvel's surgery operation. Marvel is expecting a file of BDT 500,000 which is yet to be finalized by BVC. As BVC is expected a potential file, it should keep a provision in accordance with IAS 37 and post following entry:

Administrative expenses	Dr.	500,000	
Provisions	Cr.		500,000

Referral commission:

According to IFRS 15, entity should recognize revenue in an amount that reflects the consideration to which the entity expects to be entitled in exchange for goods or services. While recognizing the revenue, entity is required to deduct the discounts. However, it is not required to deduct the commission. Therefore, Marvel should not adjust both Sales commissions and discounts from revenue. Rather it should consider commissions as selling expenses. Therefore, following adjustment entry should be posted:

Commission expenses	Dr.	1,000,000	
Revenue	Cr.		1,000,000

2.2. Evaluation of financial statements after adjustment

Marvel's financial statement has been adjusted in Appendix-1 with the accounting adjustments mentioned above. Analysis has been performed on the adjusted financial statements.

Revenue:

Reported revenue needed adjustment for incorrect netting of commission expense with revenue and incorrect recognition of advance from customer. After the adjustment of reported revenue, total revenue for the year has been determined at BDT 62,883,120. Revenue of 2024 has increased significantly by 6,969,200 from prior year revenue of BDT 55,913,920. This means revenue for the year 2024 has achieved growth of 12.5% from previous year which is remarkable considering the relatively new and emerging industry of pet care. The increase in revenue is supported by increasing trend of pet ownership and growing awareness of pet welfare. Furthermore, raise of e-commerce has facilitated in growth of pet care revenue.

Analysis of revenue mix from the reported financial statements, shows that Marvel's primary source of revenue is Grooming Service which was BDT 34,155,430. Contribution from grooming service increased to 56.1% in 2024 compared to 51.5% in prior year. This shows that revenue from grooming service is increasing as the demand is increasing.

However, revenue from healthcare service has been declining. Marvel earned BDT 8,340,987 from healthcare and training services which contributed 13.7% in 2024 compared to 16.7% in 2023. This could be due to closure of medical procedures on animals Bangladesh Veterinary Council (BVC).

Contribution by Trading revenue has declined slightly to 30.2% from 31.8% of prior year. However, in absolute number trading revenue has increased to 18,386,703 (by 3.41%) from prior year trading revenue of 11,780,626. Despite the growth rate is very low, it shows that there is opportunity of expansion of market and revenue from trading of pet foods and accessories.

Cost of Revenue:

There were no adjustment impacting the cost of revenue. Analysis of the cost of revenue shows that. Cost of the revenue for the year 2024 is BDT 39,500,000 which has increased massively by BDT 5,208,560 which is 15.2% higher than last year. . This is higher than revenue growth rate. Because of this, impact of revenue growth has been nullified. Cost of revenue has increased due to increase of cost of raw materials as well as manufacturing and distribution costs. Furthermore, impact of exchange rate fluctuation during import of premium pet care product resulted in cost of revenue.

Similar in Revenue, grooming services contributes most for cost of revenue. Grooming service in 2024 was BDT 21,146,000 which represents 53.5% of total cost of revenue. Earlier year cost of grooming revenue was 49.6%. This shows that cost of grooming services has increased significantly during the year. The increase could be due to increase in payroll cost and grooming materials used in the services.

Although in absolute number, cost of healthcare & training revenue and cost of trading revenue has increased during the year, but their representation in the overall cost structure has decreased during the year following the declining trend in revenue from these services. Cost structure for health and training service is 17.9% in 2024 in comparison to 18.8% in 2023. On the other hand, cost of trading revenue represents 28.5% in the current year in compared to 31.6% in the previous year.

GP and GP Margin:

Gross profit for the year stood at BDT 23,383,120 which has increased by BDT 1,760,000 from last year gross profit of BDT 21,622,480 and experienced an excellent growth rate of 8.1% compared to prior year. This massive growth rate has been contributed by excellent revenue growth. However, as the cost of revenue has grown at much higher rate, Marvel could have achieved much higher GP% by limiting the cost of revenue.

Significant portion of profitability has been contributed by grooming service. Contribution rate was nearly 61% which has increased from 54.5% in prior year. Trading service has also shown fantastic performance as it is contributing over 30% in the gross profit. However, gross profit contribution from training service has declined to 5.9% from prior year contribution ratio of 12.4%. This shows that training service is not much profitable service for Marvel.

Net Profit Margin

Marvel's net profit for the year has been determined at BDT 3,086,320 after adjustment which has increased by only BDT 798,832 from prior year net profit of BDT 2,287,488. Net profit for the year has increased massively by 34.9% this shows that Marvel have had outstanding performance during the year. This is due to increasing revenue following the growing trend of the industry.

Marvel net profit margin for the year is only 4.9% which is very low. However, the margin has improved from 4.1% that of in prior year. One of the key reasons for margin increase is due to decline in financial expenses. This helped in increase of net profit as well as the margin.

Current and Quick Ratio

Analysis of Marvel's financial statement of shows that its current ratio is 1.05 which was 1.06 in the prior year. This shows that there has not been any significant change in the current ratio. Current ratio shows the liquidity strength of the company to meet the current obligation with current assets. Current ratio is 1 in both years which indicates that Marvel has been matching its current liabilities with its current assets.

This also means the working capital is near to zero and Marvel has not invested much in the working capital. Due to lack of working capital, Marvel may face sudden liquidity crisis and face the risk of liquidation. It would be ideal if Marvel could invest more in the working capital and upgrade the ratio to 2:1.

Quick ratio indicates ability of an entity to repay or meet the current obligation with current assets which can be liquidated on quickest time. It appears that all current assets excluding inventories are likely to be converted to cash on earliest possible time. From analysis of Marvel's financial statements, quick ratio for the year 2024 is 0.51 whereas it was 0.54 of last year. This means quick ratio has slightly worsen from last year. This is mostly due to increase in inventory and other financial liabilities in the current year. Decrease in quick ratio means that Marvel's ability to pay off its current liabilities with its available cash has worsen. However, investing further in the working capital would increase the liquidity situation.

Debt to Equity and TIE Ratio

Debt to equity ratio shows how much debt an entity has compared to its assets. Analysis of Marvel's adjusted financial statement shows that it has debt to equity ratio is 1.76 in 2024 which has decreased from 2.34 in prior year. Analysis shows a decreasing trend in debt in capital structure as Marvel is reducing its debt position. Marvel is a highly geared entity. At present nearly 64% of its capital is financed by debt and rest 36% is financed by equity. In the prior period debt represented 70% of the capital structure where only 30% was equity. This is showing that Marvel has improved debt position by decreasing the interest-bearing borrowings. However, if the provisions and other non-interest-bearing loans are considered, Debt becomes 75% of the capital structure. From that perspective Marvel is highly geared company and should try to decrease the gearing.

Times interest earned ratio (TIE) is a solvency ratio indicating the ability to pay all interest on business debt obligations. Marvel's TIE Ratio has increased to 12.47 in current year from prior year TIE ratio of 9.23. This indicates Marvel's ability to generate profit compared to finance cost has increased significantly during the year. Increase in TIE ratio in 2024 is because of decreasing finance cost and increased profitability during the year. Marvel has paid off some portion of its interest-bearing loan during the year which led to decrease in finance cost and increase in gross profit. High TIE ratio indicates that Marvel has the ability to service its debts more than 12 times with its current level of profitability. This clearly shows Marvel's strong financial position and performance.

Asset Turnover and Return on Assets

Asset turnover ratio shows an entity's efficiency of generating revenue utilizing its assets. For Marvel, Asset turnover ratio in 2024 is only 0.67 which slightly increased from 0.58 in the previous year. This shows that Marvel is not much efficient in asset utilization and revenue generation. It can generate revenue only half of its total assets. Although the asset turnover is less than total investment in assets, revenue is growing. However, this might still be considered good performance considering the pet care industry is still very young in Bangladesh. Marvel's management should aim harder to increase revenue as much as possible.

Return on Asset in 2024 was only 3.3% which was 2.38% in the prior year. This is slight increase from prior year return on assets. This might be considered as good considering young and growing industry. In an industry which is growing and doesn't have much competition, Marvel need to create awareness and demand of the service. Therefore, the return on asset is low. However, in absence of competition, there are high upside potential exist for Marvel.

Return on Equity

Mavel had an excellent performance in the year 2024 as it has earned 12.96% return on equity. This is almost equal to 13% market return indicated by Director of Administration & Operations. Return on equity was much lower at 11.03% in the prior year. The increase in return on equity is due to significant increase in revenue and profitability during the year. This shows that Marvel has perform brilliantly by increasing and generating a handsome return for the shareholders. Furthermore, it shows Marvel's efficiency in financial management and maximizing shareholders wealth.

2.3. Evaluation of non-financial performance

Marvel Pet Care Limited demonstrates a robust performance on various non-financial aspects critical to the long-term success and reputation of the company. Here's an evaluation based on the provided details:

Customer Satisfaction and Service Quality

Marvel offers grooming, healthcare, training, and retail services, catering to diverse pet owner needs. It has made it convenience for its customers by providing home services and maintains an online booking system. Grooming services range from BDT 2,000 to BDT 30,000, reflecting the company's focus on premium customers. The high variation in grooming costs (15x from minimum to maximum) reflects tailored services for different pet types and sizes.

Marvel has been providing consultation sessions twice a week, potentially allowing for 104 sessions annually per veterinarian (assuming a consistent schedule and no holidays). Marvel has been providing various innovative services plans like pet microchipping, name tags, and a daycare centre.

Employee Management and Training

Marvel aims for employee development by regularly arranging training programs that enhance staff expertise in pet handling and safety. It also focuses on employee welfare programs aim to ensure skilled workforces are motivated and retained.

Community and Social Responsibility

Pet care is in the heart of Marvel's services. It provided care for street animals during the COVID-19 pandemic, boosting brand goodwill. It collaborates with animal shelters and NGOs to groom and care for adoptable animals.

Environmental Sustainability

Marvel focuses on eco-friendly practices. It uses sustainable grooming products and implements energy and water conservation measures. It can install energy-efficient equipment might reduce consumption by 10–20% annually, which can be tracked in utility bills. Furthermore, it can prioritize usage of sustainable products.

Marketing and Brand Identity

Marvel has created strong online presence through usage of social media platforms like Facebook and Instagram to engage with pet owners. It can use its social media to collect customer feedback and act on it to improve services. Using its social media, Marvel can promote its services and acquire new customers at a very low cost.

Business Growth and Expansion

Marvel has been performing exceptionally well which has encouraged it to plans for franchising or growing organically within Dhaka and other cities signal aggressive growth ambitions. If Dhaka represents 50% of the target market, expanding to similar-sized cities could potentially double revenues.

2.4. Conclusion

- Marvel achieved a notable 12.5% revenue growth, driven primarily by the increasing demand for grooming services and the broader adoption of e-commerce in the pet care sector.

- Marvel's primary source of revenue is Grooming Service which was BDT 34,155,430. Contribution from grooming service increased to 56.1% in 2024 as compared to 51.5% of last year.

- Healthcare and training services has declined in the current year due to closure of medical procedures on animals Bangladesh Veterinary Council. This highlights a need for strategic focus on these segments to diversify revenue sources further.

- Cost of revenue increased significantly by 15.2% in the current year exceeding the revenue growth due to increase in cost of raw materials as well as distribution costs. Furthermore, devaluation against foreign currency also contributed the increase of cost of revenue.

- Grooming service being the major source of revenue, contributes highest 53.5% of the total cost of revenue. This percentage was 49.6% in the prior year and illustrates cost increase due to increase in payroll cost and grooming materials used in the services.

- The company's gross profit growth, though commendable at 8.1%, was constrained by a disproportionately higher rise in the cost of revenue.

- Marvel achieved net profit of BDT 3,086,320 in the year 2024 which increased significantly by 34.9%, reflecting its ability to capitalize on revenue growth and manage financial expenses effectively. However, margins remain modest, with a net profit margin of 4.9%, indicating room for further operational optimization.

- Liquidity ratios (current ratio at 1.05 and quick ratio at 0.51) remains at similarly low level highlighting potential vulnerabilities in Marvel's working capital management.

- Marvel's debt-to-equity ratio is 1.76 which has improved in 2024 and indicates reduced reliance on debt. However, Marvel remains highly geared, necessitating cautious financial planning to avoid liquidity crises.

- The asset turnover ratio (0.67) and return on assets (3.3%) suggest that Marvel has scope to improve efficiency in asset utilization. The company's return on equity at 12.96% reflects its ability to generate shareholder value, aligning with market expectations.

- Marvel has excelled in customer satisfaction, employee training, and corporate social responsibility. Its innovative service offerings, community outreach programs, and environmental sustainability initiatives contribute to its strong brand identity. Furthermore, its digital presence and plans for geographic expansion indicate a forward-thinking approach to business growth.

2.5. Recommendation

- Conduct a detailed review of procurement processes to reduce the cost of raw materials and grooming supplies.

- Explore bulk purchasing agreements with suppliers of premium pet care products to minimize distribution costs.

- Invest in reviving the healthcare and training services segment by introducing value-added offerings, such as specialized medical procedures (where permitted) or advanced training programs.

- Collaborate with the Bangladesh Veterinary Council (BVC) to address regulatory hurdles in healthcare services.

- Expand the trading segment by introducing unique or exclusive pet care products and accessories to attract more customers.

- Increase investment in working capital to maintain a healthier liquidity position, targeting a current ratio of 2:1. Furthermore, strengthen inventory management to reduce excess stock and improve the quick ratio.

- Reduce financial liabilities further to lower gearing and enhance long-term financial stability.

- Conduct regular performance evaluations and allocate resources to high-performing services like grooming and trading.

- Use data-driven marketing strategies to target potential customers through social media platforms. Collect and analyse customer feedback online to improve service quality and identify market trends.

- Offer promotional campaigns for high-margin services and products to increase profitability.

- Continue using eco-friendly grooming products and expand environmental initiatives, such as recycling programs.

- Strengthen partnerships with animal shelters and NGOs to enhance community goodwill and brand reputation.

3. Evaluate of the Strengths, Weaknesses, Opportunities, and Threats (SWOT) of Marvel's existing business (Requirement a-ii):

3.1. SWOT Analysis:

Strengths

- ***Established Brand Reputation:***
  Marvel's quick rise from a small shop to a recognized name in Dhaka enhances customer trust and positions the company as a preferred choice for high-income pet owners. This allows Marvel to attract premium-paying customers and maintain a competitive edge.

- ***Diverse Service Offerings:***
  By offering grooming, healthcare, training, and retail services, Marvel diversifies its revenue streams, reduces dependence on a single service, and increases customer retention through cross-selling opportunities.

- ***Innovative Practices:***
  The use of eco-friendly products, a customer relationship management (CRM) system, and an online booking platform improves operational efficiency and appeals to environmentally conscious and tech-savvy customers.

- ***Community Engagement and Goodwill:***
  Marvel's involvement in animal welfare activities builds positive brand perception, strengthens relationships with local communities, and increases customer loyalty among socially conscious pet owners.

- ***Experienced Leadership:***
  The founders' passion and experience ensure the business is driven by a deep understanding of pet care and customer needs, fostering innovation and high-quality service delivery.

- ***Strategic Market Positioning:***
  Targeting high-income individuals and families in Dhaka enables Marvel to charge premium prices, ensuring higher profitability while focusing on a market segment with strong purchasing power.

Weaknesses

- ***Regulatory Non-Compliance:***
  The lack of proper licensing for veterinary services exposes Marvel to legal penalties and reputational damage, which could reduce customer trust and create operational disruptions.

- ***Weak financial reporting system:***

  Financial statements of Marvel required a lot of adjustments at the year end which reflects a very poor financial reporting system.

- ***Limited Geographic Presence and a very niche market:***
  Operating exclusively in Dhaka limits revenue potential and the opportunity to tap into growing pet care demand in other urban centres, restricting overall market share.

- ***High Operating Costs:***
  Dependency on third-party suppliers and technology investments like the mobile app increase costs, which might pressure margins, especially in competitive or price-sensitive markets.

- ***Customer Retention Challenges:***
  Issues like long-outstanding receivables indicate lapses in customer relationship management, potentially leading to loss of customers and cash flow issues.

- ***Pricing Sensitivity:***
  High service and product costs may alienate middle-income customers, limiting Marvel's client base and making it vulnerable to competitors offering lower-priced alternatives.

Opportunities

- ***Expanding Market Demand:***
  The rapid growth of the pet care industry, driven by increasing pet ownership and rising disposable incomes, provides a growing customer base for Marvel's services and products.

- ***E-Commerce and Digital Expansion:***
  Developing an online store for pet products could help Marvel reach a broader audience beyond Dhaka, leveraging the booming e-commerce trend in Bangladesh.

- ***New Service Introductions:***
  Planned offerings like daycare and microchipping can attract new customers and cater to unmet needs, creating additional revenue streams and competitive differentiation.

- ***Partnership and Investment Opportunities:***
  Collaborating with investors like Sigma Venture Capital or partnering with international pet care brands could provide Marvel with the financial and operational resources needed for scaling and innovation.

- ***Increasing Awareness of Pet Care:***
  Growing awareness of pet welfare and specialized pet care creates an opportunity for Marvel to educate the market, enhance its service offerings, and position itself as a leader in the industry.

Threats

- ***Regulatory Risks:***
  Pending legal issues, including fines for unlicensed veterinary practices, could result in financial losses and harm Marvel's reputation among customers and regulators.

- ***Intense Competition:***
  The entry of global players like Mars Petcare and the growing number of local clinics create pressure on pricing, service quality, and market share.

- ***Economic Sensitivity:***
  High service costs may deter customers during economic downturns, while price volatility in imported retail products could squeeze profit margins.

- ***Environmental and Ethical Concerns:***
  Negative publicity around environmental impact or unethical treatment of animals in the industry could affect customer trust and hurt Marvel's brand image.

- ***Employee Turnover:***
  Challenges in retaining skilled staff due to industry-wide low wages and stressful working conditions could increase recruitment and training costs, reducing operational efficiency.

- ***Market Perception:***
  Any lingering reputational damage from regulatory non-compliance or negative press could make customers wary of Marvel's services, impacting long-term growth.

3.2. Conclusion:

- Marvel's ability to rapidly evolve from a small grooming shop to a recognized brand highlights its innovative mindset and customer-centric approach. This positions it as a leader in Dhaka's premium pet care market.

- By offering grooming, healthcare, training, and retail services, Marvel mitigates risks associated with reliance on a single revenue stream and increases customer retention through cross-selling.

- Marvel's emphasis on animal welfare and social media presence builds goodwill and strengthens relationships with a growing community of pet owners, fostering trust and loyalty.

- Marvel's operations are currently confined to Dhaka, limiting its ability to tap into rising pet care demand in other urban centers. High operating costs also constrain profitability.

- Non-compliance with licensing requirements and legal penalties threaten Marvel's reputation and operational continuity, underlining the need for regulatory adherence.

- The rapidly growing pet care industry, coupled with increasing e-commerce adoption, provides significant growth potential. New service offerings, such as pet daycare and microchipping, align with unmet customer needs.

- Global brands entering the market and rising competition from local players create price and service quality pressures, necessitating differentiation through innovation and cost management.

- Increasing scrutiny of sustainability practices and ethical treatment of animals makes it essential for Marvel to prioritize eco-friendly operations and uphold high ethical standards.

- Industry-wide issues with low wages and high stress levels result in frequent staff turnover, which can disrupt operations and impact the quality of customer service.

- While Marvel successfully targets high-income customers, its pricing strategy may alienate middle-income pet owners, potentially limiting market share and retention.

3.3. Recommendation:

- Open branches in major urban centres like Chattogram and Sylhet to capture new markets. It can also implement franchising to accelerate expansion while minimizing upfront investment.
- Roll out high-demand services such as pet daycare and microchipping to drive additional revenue streams.
- Build an online platform and partner with top e-commerce players to expand product sales nationwide.

- Secure direct sourcing agreements to reduce costs and improve profit margins on retail products.
- Offer tiered pricing, loyalty programs, and streamlined receivable management to enhance customer loyalty and cash flow.
- Obtain all required licenses and establish a compliance audit system to avoid legal risks and maintain credibility.
- Transition to eco-friendly packaging and adopt resource-efficient operations to align with sustainability trends.
- Improve wages, introduce wellness programs, and provide regular training to boost retention and service quality.
- Secure strategic partnerships and collaborate with global brands for funding, product innovation, and market expansion.

4. NPV analysis of the investment options, recommendation with justification and comment on compatibility with vision and mission (Requirement B-i):

Board is currently considering two mutually exclusive investment options which are mutually exclusive. First option is to set up "The Furry Lounge"- a pet care centre. Second option is to start pet food manufacturing line. Board of directors of marvel plans to decide based on the NPV of the options and compatibility of Marvel's mission & vision. In order to perform NPV analysis, the board prefers the discount rate to be determined through CAPM formula where CAPM rate = Risk free rate + market beta (Market rate – Risk Free rate).

According to the provided information, Risk Free rate is 11%; Market Return 13% and market beta is 1.5. Therefore, the CAPM rate = 11% + 1.5(13%-11%) = 11% + (1.5x2%) = 11% + 3% = 14% which will be used as discount rate in NPV analysis.

4.1. NPV Analysis of "The Furry Lounge":

Marvel plans to set up 'The Furry Lounge' to accommodate the need pet care in absence of pet owners. The Marvel's marketing team and finance team determined following cash flow based on market research:

Particulars	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Initial outlay	(10,000,000)					
Per Served		4,800	7,200	9,600	12,000	14,400
Charge per pet		300	400	500	600	700
Cost per pet		250	250	250	250	250
GP per pet		50	150	250	350	450
Total Gross profit	**(10,000,000)**	**240,000**	**1,080,000**	**2,400,000**	**4,200,000**	**6,480,000**
Less: Admin cost		(600,000)	(600,000)	(650,000)	(650,000)	(700,000)
Net Cash flow	**(10,000,000)**	**(360,000)**	**480,000**	**1,750,000**	**3,550,000**	**5,780,000**
Terminal Value*						54,121,818
PVIF@14%	1	0.8772	0.7695	0.6750	0.5921	0.5194
Present Value	(10,000,000)	(315,792)	369,360	1,181,250	2,101,955	31,113,004
Net Present Value						**24,449,777**

* Terminal value = Cash flow @ Y5/(d-g) where d is discount rate of 14% & g is growth rate of 3%.
= (5,780,000 x 1.03)/ (14%-3%)
= 54,121,818

Based on the calculation, it is expected that setting up 'The Furry Lounge' will generate NPV of BDT 24,449,777. As NPV of the option is positive, Marvel may be accept setting up 'The Furry Lounge'.

4.2. NPV Analysis of "pet food manufacturing line":

Second option at the hand of Marvel board is to set up 'pet food manufacturing line' to meet the demand of premium quality pet food. Marvel estimates that cost of setting the manufacturing plant with would be BDT 35 million. Production capacity is 6,000 KG per month but expected operating efficiency is 75% which is 4,500 KG per month. Expected selling price of BDT 500 per KG in the first year and price increment of BDT 50 per KG in each of next 4 year whereas forecasted variable cost per KF is BDT 375 in the first year which will increase by BDT 25 per KG in each of next 4 years. Annual fixed cost is 6 million. Cash flows after 5th year is expected to grow at 4% perpetually. From this following cash flow can be drawn:

Particulars	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Initial outlay	(35,000,000)					
Annual production		54,000	54,000	54,000	54,000	54,000
Selling price/KG		500	550	600	650	700
Variable cost/KG		(375)	(400)	(425)	(450)	(475)
GP/KG		125	150	175	200	225
Total Gross profit	**(35,000,000)**	**6,750,000**	**8,100,000**	**9,450,000**	**10,800,000**	**12,150,000**
Less: Admin cost		(6,000,000)	(6,000,000)	(6,000,000)	(6,000,000)	(6,000,000)
Net Cash flow	**(35,000,000)**	**750,000**	**2,100,000**	**3,450,000**	**4,800,000**	**6,150,000**
Terminal Value*						63,960,000
PVIF@14%	1	0.8772	0.7695	0.6750	0.5921	0.5194
Present Value	**(35,000,000)**	**657,900**	**1,615,950**	**2,328,750**	**2,842,080**	**36,415,134**
Net Present Value	**8,859,814**					

* Terminal value = Cash flow @ Y5/(d-g) where d is discount rate of 14% & g is growth rate of 4%.
= (6,150,000 x 1.04)/ (14%-4%)
= 63,960,000

Based on the calculation, it is expected that setting up the per care manufacturing line will generate positive NPV of BDT 8,859,814. As NPV of the option is positive, Marvel may accept setting up pet food manufacturing line.

4.3. Execution recommendation to the board with justification:

Marvel has two options at hand for execution. As the options are mutually exclusive, it can select only one investment option for execution. Therefore, it should select the option that is commercially viable and supports its mission and vision.

The NPV analysis of the two investment options reveals that both options have positive NPV. This means both options are commercially viable. However, setting up 'The Furry Lounge' will generate highest NPV which is BDT 24,449,777. Setting up this option will allow Marvel to make related diversification of the business. Therefore, Marvel should select "The Furry Lounge" option.

4.4. Comment on compatibility with Marvel's Mission & vision:

Marvel has mission is to enhance the quality of life for pets and their owners by offering exceptional grooming services, innovative pet care solutions, and a loving, stress-free environment". Its vision is to be the leading pet care provider, recognized for our commitment to excellence, compassion, and innovation in the pet grooming and care industry.

Opening up the pet care centre (the furry lounge) would take care of the pets in absence of the pet owners. Therefore, it would enhance the quality of life for pets and their owners. The pet care centre is likely to provide a fun and stress-free environment. This would match with the marvel's mission. As the pet care industry is still young, there are not much of pet care centre. So, setting up the furry lounge make it one of the earliest pet care centres making Marvel leading pet care provider and well recognized in the pet care industry. Therefore, it will support Marvel's vision. Therefore, setting up the pet day care centre will be compatible with both Marvel's mission and vision.

4.5. Conclusion:

- Marvel is considering two mutually exclusive investment options: establishing "The Furry Lounge" (a pet care centre) and starting a pet food manufacturing line.
- NPV analysis indicates that both options are financially viable, as both have positive.
- The Furry Lounge offers NPV of BDT 24,449,777 which is significantly higher in comparison of Pet Food Manufacturing Line NPV of BDT 8,859,814.
- Establishing The Furry Lounge provides Marvel an opportunity to diversify its business into pet care services, enhancing its overall market positioning.
- As one of the first movers in the young pet care industry, Marvel can establish itself as a market leader.
- The Furry Lounge aligns with Marvel's mission to enhance pets' quality of life and provide innovative, stress-free pet care solutions.
- Setting up The Furry Lounge supports Marvel's vision of becoming a leading pet care provider, recognized for excellence, compassion, and innovation.

4.6. Recommendation:

- Proceed with Establishing "The Furry Lounge" as it offers a significantly higher NPV of BDT 24,449,777 and matches with its mission and vision.
- Board should also consider its risk appetite and relevant risks of the investment options.
- Board should develop a risk mitigation strategy to address operational challenges and uncertainties associated with each of the investment options.
- Marvel should perform a due diligence on prospective financial and non-financial data and conduct a thorough risk assessment, develop mitigation plan to address any potential challenges that may arise during its implementation.
- As the other option of manufacturing production line has positive NPV, Marvel board may also consider this project for future investment options.

5. New shares to be issued, enterprise value of marvel and acceptability of Sigma's offer (Requirement b-ii):

5.1. Determining new shares to be issued for Sigma's offer:

Marvel received an offer from Sigma Venture Capital Limited (Sigma) which is interested to purchase 40% of ownership of marvel at BDT 15 per share subject the due diligence procedures. Marvel plans to issue new shares if it finds Sigma's offer acceptable.

According to the information provided , at present Marvel has total share capital of BDT 16,500,000 which is divided into 1,650,000 shares with 10 Taka face value. If marvel plans to issue new shares to Sigma, it will retain existing shares as 60%. Therefore, rest 40% shares would be 1,650,000 x 0.4/0.6 = 1,100,000.
This means Marvel will issue 1,100,000 new shares to sigma with face value of BDT 10 taka at a price of BDT 15 each share. Marvel will receive BDT 16,500,000 out of which BDT 11,000,000 as share capital and additional 5,500,000 as share premium.

5.2. Enterprise value considering investment in "The Furry Lounge":

Marvel has decided to determine enterprise value by combining expected cash flows from its existing business with expected cash flows from proposed investment options. Assuming the investment will take place in the current year, Cash flow from furry lounge will be added with existing business cash flows. Assuming 3% perpetual growth after 2029, Marvel's finance department has prepared following cash flows:

Item	2025 E	2026 E	2027 E	2028 E	2029 E	Terminal Value
Free Cash Flows from existing business	4,488,332	5,104,155	5,873,435	6,834,111	8,033,486	73,031,691*
Free Cash Flows from 'The Furry Lounge'	(360,000)	480,000	1,750,000	3,550,000	5,780,000	54,121,818
Total free Cash flow	**4,128,332**	**5,584,155**	**7,623,435**	**10,384,111**	**13,813,486**	**127,153,509**
PVIF	0.8772	0.7695	0.6750	0.5921	0.5194	0.5194
Present Value	**3,621,373**	**4,297,007**	**5,145,819**	**6,148,432**	**7,174,725**	**66,043,533**
Enterprise Value	**92,430,888**					

* Terminal value = Cash flow @ 2029/(d-g) where d is 14% and g is growth rate of 3%.
= (8,033,486 x 1.03)/ (14%-3%)
= 73,031,691

5.3. Acceptability of Sigma's share:

Sigma has offered to purchase 40% shares of marvel (1,100,000) at BDT 15 per share.

At present before issuing shares to sigma, Marvel's enterprise value per share is 92,430,888/ 1,650,000 = 56.02. Whereas considering post issue share, enterprise value per share would be 92,430,888/ (1,650,000+1,100,000) = 33.61.

In either case, enterprise value per share is much higher than share price offered by Sigma. Therefore, sigma's offer price is not acceptable.

5.4. Conclusion:

- Sigma proposed to purchase 40% of Marvel's ownership by purchasing 1,100,000 new shares at BDT 15 per share. This would add new capital of BDT 16,500,000, including BDT 11,000,000 as share capital and BDT 5,500,000 as share premium.
- Combining cash flows from Marvel's existing business and the proposed investment in "The Furry Lounge," the enterprise value is estimated at BDT 92,430,888.
- Before the issuance, the enterprise value per share is calculated at BDT 56.02.
- After issuing shares to Sigma, the enterprise value per share decreases to BDT 33.61 due to dilution.
- Sigma's offer price of BDT 15 per share is unacceptable as it is significantly lower than the enterprise value per share, both before and after issuing shares.

5.5. Recommendation:

- Marvel should decline Sigma's current offer of BDT 15 per share as it significantly undervalues the enterprise value per share, both pre- and post-issuance.
- Marvel should engage in negotiations with Sigma to revise the share price offer to align more closely with the calculated enterprise value per share.
- Marvel should seek alternative investors or funding sources that better reflect the company's valuation and growth potential.
- Marvel board may consider debt financing or other non-dilutive funding methods to avoid share dilution and maintain higher enterprise value per share.
- Continuously update enterprise value calculations to reflect any changes in market conditions, growth projections, or operational results before engaging in further negotiations.
- Ensure any deal aligns with Marvel's long-term strategy and preserves the interests of existing shareholders by avoiding undervaluation of the entity.

6. Determining best financing options (Requirement b-iii):

In order to finance the investment options, Marvel has options of financing through issuing new shares or by obtaining external loan. Sigma has already offered to purchase 1,100,000 shares at a price of BDT 15 which will generate BDT 16,500,000. From this fund, BDT 10,000,000 can be used for financing 'The Furry Lounge'. However, the offer price by Sigma is too low and may not be acceptable to Marvel's board of directors.

Marvel's board is open to external borrowing as long as the gearing ratio does not exceed 80% gearing. At present, Marvels gear is at below 65% as calculated in debt-equity ratio. Adding new borrowing of BDT 10,000,000 will increase the gearing to 68.6% [(33,618,497+ 8,386,640+10,000,000)/ [(33,618,497+ 8,386,640+10,000,000+23,821,503)] which is still below the gearing threshold. Therefore, Marvel can plan to finance the investment option by obtaining external debt.

If the option is financed by external debt, Marvel can avail the loan at 15%. Disregarding the interest, NPV of 'The Furry Lounge' at 15% would be:

Total Gross profit	**(10,000,000)**	**240,000**	**1,080,000**	**2,400,000**	**4,200,000**	**6,480,000**
Less: Admin cost		(600,000)	(600,000)	(650,000)	(650,000)	(700,000)
Net Cash flow	**(10,000,000)**	**(360,000)**	**480,000**	**1,750,000**	**3,550,000**	**5,780,000**
Terminal Value*						49,611,667
PVIF@15%	1	0.8772	0.7695	0.6750	0.5921	0.5194
Present Value	(10,000,000)	(315,792)	369,360	1,181,250	2,101,955	28,770,432
Net Present Value	**22,107,205**					

* Terminal value = Cash flow @ Y6/(d-g) where d is discount rate of 15% & g is growth rate of 3%.
= (5,780,000 x 1.03)/ (15%-3%)
= 49,611,667

Even if the investment option is financed by the external debt, the investment option will generate positive NPV of 22,107,205.

As equity financing may not be possible due to low offer price for share, it will be best for Marvel if the investment option is financed by debt at 15% interest rate.

6.1. Conclusion:

- Marvel is considering two financing options for its investment in "The Furry Lounge": issuing new shares or obtaining external debt.
- Sigma's offer to purchase 1,100,000 shares at BDT 15 per share would generate BDT 16,500,000, but the offer price is too low and may not be acceptable to Marvel's board.
- Marvel's current gearing ratio is below 65%, and adding new debt of BDT 10,000,000 would increase it to 68.6%, still below the threshold of 80%, making external borrowing a viable option.

- If financed through external debt at an interest rate of 15%, the NPV of the investment in "The Furry Lounge" would still be positive, amounting to BDT 22,107,205.
- Given the low share price offered by Sigma, financing through external debt would be the most advantageous option for Marvel, allowing the company to proceed with the investment while maintaining a healthy financial structure.

6.2. Recommendation:

- Marvel should consider obtaining a loan to finance the "The Furry Lounge." since external borrowing is a feasible option with the current gearing ratio remaining below the 80% threshold.
- By choosing debt financing, Marvel can maintain financial stability while still achieving a positive NPV of BDT 22,107,205 from the investment, ensuring the venture remains commercially viable.
- Marvel should consider exploring alternative equity financing options.
- Marvel should proceed with the investment in "The Furry Lounge" as it provides a solid opportunity for growth and market diversification.

7. Non-financial factors to be considered in case of financing through venture capitalist:

When considering financing from Sigma Venture Capital, Marvel should assess several non-financial factors:

- **Alignment with Vision and Mission**:
  It is crucial to ensure that Sigma's objectives align with Marvel's long-term goals. Any conflict in strategic direction can lead to disagreements, affecting the company's growth and culture.
- **Impact on Company Culture**:
  Introducing external investors can bring changes to the company's culture. Marvel should evaluate how Sigma's involvement might affect employee morale, work environment, and corporate values.
- **Control and Decision-Making**:
  The board should consider how the 40% ownership stake by Sigma might impact decision-making power within the company. It is important to assess whether Marvel will retain sufficient control over its operations and strategic decisions.
- **Strategic Support and Expertise**:
  Beyond financial resources, venture capitalists often bring strategic expertise, industry experience, and valuable networks. Marvel should evaluate whether Sigma's support could help accelerate product development, market expansion, or operational efficiency.
- **Reputation and Credibility**:
  Sigma's reputation in the market will reflect on Marvel. A partnership with a reputable and well-regarded venture capital firm could enhance or hamper Marvel's credibility, attracting more customers, partners, and investors.
- **Market Perception**:
  Market's perception of Marvel by competitors and customers after accepting Sigma's offer can influence brand strength, customer loyalty, and future opportunities.

Conclusion:

- Ensure Sigma's objectives align with Marvel's long-term goals to avoid strategic conflicts that could hinder growth and culture.
- Assess how Sigma's involvement might affect employee morale, the work environment, and corporate values.
- Evaluate the impact of Sigma's 40% ownership on decision-making power and ensure Marvel retains sufficient control over operations and strategic decisions.
- Consider the value of Sigma's strategic expertise, industry experience, and networks in accelerating product development, market expansion, and operational efficiency.
- Analyse how partnering with Sigma, can impact Marvel's market credibility and attract customers, partners, and investors and how it is perceived by the competitors and customers.

Recommendation:

- Marvel should thoroughly assess Sigma's strategic objectives to ensure they align with the company's vision and mission to avoid potential conflicts in direction.
- Marvel should carefully consider how Sigma's involvement could affect company culture, employee morale, and internal values, ensuring it aligns with the company's existing work environment.
- Marvel should negotiate terms to retain enough control over decision-making processes, ensuring the company's leadership can continue to guide strategic choices.
- Marvel should actively evaluate how Sigma can contribute in accelerating growth, product development, and market expansion.
- Marvel should assess how the partnership will be perceived by the customers, competitors, and stakeholders and how it will influence its market reputation.

8. Ethical issues involving Marvel's business and appropriateness of TMC's audit report (Requirement C-i).

8.1. Ethical issues:

Ethical issues involving Marvel's business and operation includes:

- **Conflict of Interest in Financial Reporting:**
  The connection between Marvel's audit firm, Tahsin Moin & Co., and the Managing Director's family raises concerns about the independence and objectivity of the audit, compromising transparency in financial reporting.
- **Unlicensed Veterinary Practice:**
  Marvel operates veterinary services without the necessary licenses, violating regulations designed to protect animal welfare. This compromises animal health and public trust in the company.
- **Employee Welfare and Working Conditions:**
  Despite offering health and safety training, concerns arise over the company's commitment to implementing these policies consistently. Staffs, who are working with pet animal, faces risks from chemicals and physical strain, raising issues of exploitation and mental stress.

- **Transparency in Pricing and Margins:**
  The high markups on pet products, ranging from 30% to 500%, suggest potential exploitation of customers, raising ethical concerns about fairness and pricing transparency.
- **Animal Welfare and Community Engagement:**
  While Marvel engages in positive activities like adoption drives, there's a risk that these initiatives may be more about marketing than genuinely helping animals, potentially exploiting animals and their caretakers for publicity.
- **Data Privacy and Customer Confidentiality:**
  Marvel collects customer data via a CRM system but faces ethical concerns about data privacy and cybersecurity. Failing to protect this information could breach customer trust and violate data protection laws.
- **Economic Accessibility:**
  The high costs of pet care products and services can exclude lower-income pet owners from adequate care, raising concerns about equity and fairness in accessing essential pet care services.
- **Revenue Recognition and Financial Transparency:**
  Marvel's failure to properly recognize revenue, like advancing payments for services not yet rendered, and the misreporting of expenditures such as app development costs, could mislead stakeholders and violate accounting ethics.
- **Waste Management:**
  The pet care industry's waste generation, including grooming by-products and packaging materials, raises concerns about Marvel's environmental responsibility. Ethical business practices require effective waste management to reduce harm to local ecosystems.

8.2. Appropriateness of TMC's audit report:

The appropriateness of Tahsin Moin & Co. (TMC)'s audit report for Marvel is questionable due to ethical concerns involving conflict of interest, independence, and objectivity. TMC's partner, Mr. Moin Uddin, is related to Marvel's Managing Director, creating a familial conflict of interest that undermines the audit's independence and credibility. Additionally, TMC's involvement in advising Marvel on IFRS and legal compliance further weakens its objectivity, as auditors should not also provide management advisory services. Furthermore, TMC's long-standing relationship with Marvel raises concerns about audit failure.

TMC's prior audit report contained an Emphasis of matter paragraph relating to Marvel's unlicensed veterinary practices and non-approved pet food sales. However, these issues are significant for the readers of the financial statements. Therefore, TMC should have issued a modified audit opinion highlighting the facts of unlicensed veterinary practices and non-approved pet food sales instead of issuing an emphasis of matter. Therefore, it is clear that prior year audit opinion issued by TMC was not appropriate.

8.3. Conclusion

- Marvel faces multiple ethical issues, including conflicts of interest, unlicensed practices, employee welfare, pricing transparency, and environmental responsibility.
- TMC's independence and objectivity are compromised due to familial ties with Marvel's Managing Director and its dual advisory role.
- The long-standing audit relationship with Marvel raises concerns about reduced scepticism and critical review.

- TMC's prior audit opinion was inadequate, as it failed to issue a modified opinion on significant ethical and operational concerns.
- Both Marvel and TMC need to address these ethical issues and ensure that future audits are independent, transparent, and appropriately reflect the company's operations and risks.

8.4. Recommendation

- Marvel should remove TMC as auditor and engage an independent audit firm, avoiding conflicts of interest and maintaining objectivity and transparency in financial reporting.
- Marvel must ensure that its veterinary practices are properly licensed and align with regulatory requirements, while health and safety protocols are implemented for employee welfare.
- Marvel should work to reduce environmental impact through responsible waste management and ensure that its animal welfare initiatives including adoption drives are genuine.
- Marvel must improve its financial reporting by ensuring proper revenue recognition and classification of expenses.

9. Assessment of sustainability factors of Marvel's business (Requirement C-ii).

All business needs to be sustainable in order to continue its business for the foreseeable future. A business can earn sustainability when it achieves Human Sustainability, Social Sustainability, Economic Sustainability and Environmental Sustainability. Marvel Pet Care Limited operates in a growing and dynamic pet care industry in Bangladesh. The business has potential to contribute significantly to human, social, economic, and environmental sustainability. Below is an analysis based on these dimensions:

9.1. Human Sustainability

- **Training & Development**:
  Marvel regularly arranges training on safety and handling techniques ensures that employees have the skills necessary for quality pet care.
- **Wellness and Mental Health**:
  Employees face emotional strain due to interaction with stressed or sick animals, but structured wellness support remains underdeveloped at Marvel.
- **Workplace Safety**:
  Marvel emphasizes on use of protective gear (gloves, masks, aprons) during operations helps ensure employee safety. However, wages and work conditions could be improved.
- **Specialized Services**:
  Offering health services and grooming for special needs pets demonstrates a focus on improving customer and pet satisfaction.
- **Community Engagement**:
  Educational workshops and pet adoption drives contribute to raising awareness about responsible pet ownership, improving human-animal relationships.

- **Employee Retention Challenges**:
  High turnover rates are attributed to stressful conditions and insufficient workplace support, which needs to be addressed to maintain a stable workforce.

9.2. Social Sustainability

- **Ethical Treatment of Pets**:
  Marvel is committed to providing compassionate, high-quality care reflects Marvel's ethical values.

- **Regulatory compliances**:
  Unlicensed veterinary practices by Marvel reveal gaps in adherence to social responsibility and regulatory compliance, posing risks to trust and reputation.

- **Community and Inclusivity**:
  Programs like discounted services for adoptable pets and collaboration with shelters underline Marvel's commitment to social inclusion. This can hamper Marvel reputation with the stakeholders and trigger going concern thread for the entity.

- **Focusing on High-end customers only:**
  According to Marvel's business strategy, it only focuses on high end customers whom it is providing premium services. However, providing only premium services exclude low-income pet owners, creating economic barriers to accessing services.

- **Cultural Impact:**
  Marvel plays a vital role in transforming societal views on pets, promoting their role as companions rather than utilitarian animals. This is making positive impact in the pet ownership culture.

- **Social Responsibility**
  Active participation in community events, like adoption drives and responsible pet ownership workshops, helps strengthen the social fabric.

9.3. Economic Sustainability

- **Diversified revenue stream:**
  Marvel's revenue streams are diversified, including grooming, healthcare, training services, and retail product sales earning economic sustainability for the entity itself and the society at large.

- **Profitability and cost to customers**
  Marvel earns high margins on pet products (30%-500%) which ensure profitability for the company. However, this also contribute to rising costs for customers which can eventually impact the pet care.

- **Economic activities and employment opportunities:**
  Marvel plans to expand its business to other cities, introduce franchise operations, and introduce new services like daycare and microchipping indicate a forward-looking approach. This will impact the economy as it will increase economic activities and employment opportunities.

- **Support for Local Economies:**
  Procurement of products through local importers supports domestic businesses, but direct partnerships with international suppliers could optimize costs.

- **Digital and Operational Efficiency:**
  Investment in CRM systems, online booking, and a mobile app enhances customer engagement and operational efficiency, contributing to economic sustainability.

9.4. Environmental Sustainability

- **Eco-Friendly Practices:**
  Use of biodegradable grooming products is a step toward reducing environmental impact, though adoption needs scaling across operations. Marvel could start use of biodegradable products. Furthermore, measures to control energy and water consumption at facilities indicate partial environmental responsibility.

- **Waste and Pollution:**
  Grooming and pet care activities generate waste, including chemicals, packaging, and grooming by-products. Marvel lacks a comprehensive waste management system. Furthermore. heavy reliance on plastic packaging for retail pet products also adds to environmental concerns.

- **Carbon Footprint:**
  Transport-related emissions (supplies, customer service visits) and pet food production contribute significantly to Marvel's environmental impact. Introduction of usage of renewable energy sources (e.g., solar power) and carbon offset programs could mitigate these effects.

- **Challenges in the Industry:**
  The pet food segment contributes to methane emissions and resource consumption (livestock farming), indirectly impacting Marvel's supply chain.

9.5. Conclusion

- Sustainability is Essential. Marvel must integrate human, social, economic, and environmental sustainability for long-term success.
- Marvel already is strong in training and safety, but for human sustainability, it needs to improve employee wellness, retention, and workplace conditions.
- Ethical pet care and community initiatives are commendable, but regulatory compliance and inclusivity must be strengthened for social sustainability.
- Diversified revenue and expansion plans ensure growth, which is essential for Economic Sustainability, but balancing profitability with affordability is critical.
- Environmental Sustainability is prioritizing eco-friendly practices which are promising but need scaling. Marvel need improve waste management, reduce plastic use and carbon footprint.

9.6. Recommendation

- Enhance Employee Well-being by implementing structured mental health support, fair wages, and improving workplace conditions to reduce turnover and build a motivated workforce.
- Ensure Regulatory Compliance by securing all necessary licenses, especially for veterinary practices, and establish a compliance monitoring system to safeguard reputation and operations.
- Introduce affordable service tiers or subsidies to make pet care accessible to middle- and low-income customers, broadening market reach and social impact.
- Develop a robust waste reduction program, including recycling grooming by-products, minimizing chemical use, and reducing plastic packaging.
- Adopt eco-friendly practices through scaling up the use of biodegradable grooming supplies and transition to renewable energy sources, such as solar power, for facility operations.
- Focus on optimizing costs and partnerships by strengthening relationships with local suppliers and explore direct international sourcing to improve cost efficiency without compromising quality.
- Increase collaboration with shelters, NGOs, and adoption initiatives to boost Marvel's role in promoting responsible pet ownership and animal welfare.

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10. Appendices:

10.1. Appendix 1 - Analysis of Adjusted Balance Sheet:

Statement of Financial Position
For the year ended 30 June 2024

	2024	Adjustment	Adjusted 2024	2023
Assets				
Non-current Assets				
Property, plant and equipment	30,894,720		30,894,720	32,792,320
Intangible assets	13,930,080	1,400,000	15,330,080	19,834,320
Other non-current assets	9,492,240		9,492,240	8,014,560
	54,317,040	**1,400,000**	**55,717,040**	**60,641,200**
Current Assets				
Inventories	19,456,720		19,456,720	17,242,320
Other financial assets	8,128,800		8,128,800	7,292,800
Trade and other receivables	5,510,880	(165,000)	5,345,880	5,987,840
Cash and cash equivalents	4,842,720		4,842,720	4,785,920
	37,939,120	**(165,000)**	**37,774,120**	**35,308,880**
Total Assets	**92,256,160**	**1,235,000**	**93,491,160**	**95,950,080**
Equity and liabilities				
Equity				
Share capital	16,500,000		16,500,000	16,500,000
Retained earnings	5,836,503	1,485,000	7,321,503	4,235,183
	22,336,503	**1,485,000**	**23,821,503**	**20,735,183**
Non-current liabilities				
Interest bearing loans and borrowings	12,302,240		12,302,240	18,534,497
Other payables	9,486,320		9,486,320	12,496,000
Other financial liabilities	11,829,937		11,829,937	10,827,280
	33,618,497	**-**	**33,618,497**	**41,857,777**
Current liabilities				
Trade and other payables	12,866,640		12,866,640	13,908,480
Provisions	9,228,840	750,000	9,978,840	8,066,800
Income tax provisions	4,819,040		4,819,040	4,710,480
Other financial liabilities	9,386,640	(1,000,000)	8,386,640	6,671,360
	36,301,160	**(250,000)**	**36,051,160**	**33,357,120**
Total equity & liabilities	**92,256,160**	**1,235,000**	**93,491,160**	**95,950,080**

10.2. Appendix 1 - Analysis of Adjusted Statement of Profit & Loss:

Statement of Profit or Loss and Other Comprehensive Income
For the year ended 30 June
2024

	2024	Adj	Adjusted FS	2023	Variance	Variance %
Revenue	60,883,120	2,000,000	62,883,120	55,913,920	6,969,200	12.5%
Cost of sales	(39,500,000)		(39,500,000)	(34,291,440)	(5,208,560)	15.2%
Gross profit	**21,383,120**	**2,000,000**	**23,383,120**	**21,622,480**	**1,760,640**	**8.1%**
Administrative expenses	(17,152,320)	(515,000)	(17,667,320)	(16,758,560)	(908,760)	5.4%
Selling expenses	(1,660,320)		(1,660,320)	(1,253,840)	(406,480)	32.4%
Operating profit	**2,570,480**	**1,485,000**	**4,055,480**	**3,610,080**	**445,400**	**12.3%**
Financial Income	46,160		46,160	54,800	(8,640)	-15.8%
Financial expenses	(329,040)		(329,040)	(397,040)	68,000	-17.1%
Profit before tax	**2,287,600**	**1,485,000**	**3,772,600**	**3,267,840**	**504,760**	**15.4%**
Tax expenses	(686,280)		(686,280)	(980,352)	294,072	-30.0%
Net profit for the year	**1,601,320**	**1,485,000**	**3,086,320**	**2,287,488**	**798,832**	**34.9%**
Other comprehensive income	-		-	-	-	0.0%
Total comprehensive income	**1,601,320**	**1,485,000**	**3,086,320**	**2,287,488**	**798,832**	**34.9%**

10.3. Appendix 3 - Mix analysis:

Based on the reported revenue:

	2024	2023
Revenue Analysis		
Grooming Service Revenue	56.1%	51.5%
Healthcare & Training Service Revenue	13.7%	16.7%
Trading Revenue	30.2%	31.8%
	100%	**100%**
Cost of Revenue Analysis		
Grooming Service Revenue	53.5%	49.6%
Healthcare & Training Service Revenue	17.9%	18.8%
Trading Revenue	28.5%	31.6%
	100%	**100%**
GP Analysis		
Grooming Service Revenue	60.8%	54.5%
Healthcare & Training Service Revenue	5.9%	13.4%
Trading Revenue	33.3%	32.1%
	100%	**100%**

10.4. Appendix 4: Ratio Analysis:

SL.	Ratio Name	30-Jun-24	30-Jun-23
1	Current Ratio	1.05	1.06
2	Quick Ratio	0.51	0.54
3	Debt to equity ratio	1.76	2.34
4	Asset Turnover Ratio	0.67	0.58
5	TIE Ratio	12.47	9.23
6	Return on Asset	3.30%	2.38%
7	Return on Equity	12.96%	11.03%

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